

STATUTORY AUDIT REPORT



2025-2026

SPARSH CO-OPERATIVE HOUSING SOCIETY LTD

BOM/W-P/HSG/(TC)/4158/88-89

**Plot No.16, Jankalyan Nagar, Kharodi, Malad -
West, Mumbai - 400 095**

**STATEMENT OF AUDIT REPORTS & ACCOUNTS STATEMENTS
FOR THE YEAR ENDED 31ST MARCH,2026**

Shri. Bharat C. Boridkar
Govt. Certified Panel Auditor

Boridkar House, Pandurang Bhoir Road, Dahisar - West, Mumbai, Mumbai - 400 068

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

Boridkar House, Pandurang Bhoir Road, Dahisar - West, Mumbai, Mumbai - 400 068, 9769556665

To,
The Chairman, Members
SPARSH CO-OPERATIVE HOUSING SOCIETY LTD
Plot No.16, Jankalyan Nagar, Kharodi, Malad - West, Mumbai - 400 095

Sub :-Statutory audit of your society for Financial Year ending on31-Mar-2026

Enclosed please find 3 [Three only] sets of duly audited, signed and sealed comprising Audit Report in Form-N2, Form -1 along with Sch 1 to 6, Form - 7, General Remarks, Balance Sheet, Income and Expenditure Account along with Schedules forming integral part of the same, Audit Report [Executive Summary] for the Financial Year ended on 31-Mar-2026 for record of the Society.

It is advised that one set to be submitted to, The Dy.Registrar, Co-Operative Society, Ward P, 2nd floor, C wing, Municipal Godown Bldg, Nr St Lawrence School, 90 feet Road, Sanskruti Complex,, Kandivali East,, Mumbai- 400101 under the Societies covering letter at your earliest.

You are requested to upload mandatory returns as prescribed u/s 79 of the MCS Act i.e. 1] Annual Report of Activities, 2] Abridged Audit Report, 3] Balance Sheet, 4] Income and Expenditure Account, 5] Plan for Surplus Distribution, 6] List of Amendment to Bye-Laws, if any, 7] Date of holding AGBM and Election and 8] Name of Auditor for year ended 31-03-2026 and Return Consent on "www.mahasahakar.maharashtra.gov.in" within the time prescribed.

I am also enclosing Invoice for audit fees with a request to settle the same at your earliest.

Please Note that the Audit rectification report in Form O duly approved by the managing committee to be submitted to the Registering Authorities within the time permitted i.e. 3 months from the date of audit report under section 82 of the MCS Act. Please make sure that authenticated copy of the same along with soft copy to be provided to me for my comments thereon and uploading thereafter on "www.mahasahakar.maharashtra.gov.in".

In any case, any further information is required, feel free to contact me at your convenience.

Inconvenience, if any, is regretted.

Thanks a lot.

Yours faithfully,

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

Co-op Soc Empanelment Number : Mumbai-4/C1/1011404

Mumbai: 16th May, 2026

Encl: 1] 3 [three only] sets as above

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

Boridkar House, Pandurang Bhoir Road, Dahisar - West, Mumbai, Mumbai - 400 068, 9769556665

INDEPENDENT AUDITOR'S REPORT

[As prescribed under section 81 of the Maharashtra Co-operative Societies Act, 1960 and rule 69 (3) of the Maharashtra Co-op Societies Rules.]

To,
The Chairman, Members
SPARSH CO-OPERATIVE HOUSING SOCIETY LTD
Plot No.16, Jankalyan Nagar, Kharodi, Malad - West,
Mumbai - 400 095

Sub :-Statutory audit of your society for Financial Year ending on31-Mar-2026

Report on the Financial Statements as a Statutory Auditor

1. We have audited the accompanying financial statements of **SPARSH CO-OPERATIVE HOUSING SOCIETY LIMITED**, which comprise the Balance Sheet as at 31st MARCH, 2026 and the Statement of Income and Expenditure for the year ended on that date, and a summary of significant accounting policies and other explanatory information incorporated in these financial statements of the Society audited by us for the period 1st April 2025 to 31st March 2026.

Management's Responsibility for the Financial Statements

2. Management is responsible for the preparation of these financial statements that give a true and fair view of the financial position and financial performance of the Society in accordance with the accounting principles generally accepted in India, the Maharashtra Co-operative Societies Act, 1960 and Rules there under. This responsibility includes maintenance of adequate accounting records in accordance provisions of the Act for safeguarding the assets of the society and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

3. Our responsibility is to express an opinion on these financial statements based on our audit. We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and Rules made there under. We have conducted our audit in accordance with the applicable standards issued by the Institute of Chartered Accountants of India and under the Maharashtra Cooperative Societies (MCS) Act, 1960. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.
4. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures on the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the societies preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion of the effectiveness of the societies internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

Boridkar House, Pandurang Bhoir Road, Dahisar - West, Mumbai, Mumbai - 400 068, 9769556665

Opinion

6. In our opinion and to the best of our information and according to the explanations given to us, the said financial statements together with the notes thereon give the information required as per the Maharashtra Cooperative Societies Act, 1960 and the Maharashtra Co-Operative Societies Rules 1961, and any other applicable Acts, and or circulars issued by the Registrar, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:

- i. In the case of the Balance Sheet, of the state of affairs of the Society as at 31st MARCH, 2026
- ii. In the case of the Statement of Income and Expenditure, of the Excess of Expenditure Over Income of the Society for the year ended on that date; and

Report on Other Legal and Regulatory Matters

As required by the Maharashtra Co-operative Societies Act, 1960 and Rules made there under and in terms of circular No 976/2014 Dated 28/10/2014 we give in part A, B & C a statement on the matter specified in the said parts to the extent applicable.

7. The Balance sheet, Income and Expenditure Account have been drawn up in accordance with the provisions of the Maharashtra State Co-operative Act, 1960.

8. We report that :

- (a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and have found them to be satisfactory.
- (b) The transactions of the Society, which have come to my notice, have been within the powers of the Society.
- (c) The returns received from the office of the society have been found adequate for the purposes of our audit.

9. In our opinion, the Balance sheet, Income and Expenditure account and Receipt and Payment Account comply with applicable Accounting Standards.

10. We further report that :

- i. The Balance Sheet and Income and Expenditure Account dealt with by this report, are in agreement with the books of account and the returns and give true & fair view of statements of affairs.
- ii. In our opinion, proper books of account as required by law have been kept by the Society so far as appears from our examination of these books

Audit Classification:-

The Society has been awarded "B" Audit Classification for the Co-op. financial year 2025-2026.

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

Co-op Soc Empanelment Number : Mumbai-4/C1/1011404

Mumbai: 16th May, 2026

FORM NO. 1
FOR ALL TYPE OF CO-OPERATIVE SOCIETIES
PART – A

I	SR. NO.	SOCIETY INFORMATION	PARTICULARS TO BE FILED BY THE AUDITOR
1	2	3	4
I	1	Name of the Society	SPARSH CO-OPERATIVE HOUSING SOCIETY LTD
	2	a) Society Registration Number and Date Designation of Registering Officer	BOM/W-P/HSG/(TC)/4158/88-89
		b) Classification and Sub Classification as per Buy-laws	Co-Operative Housing Society
	3	Area of Operation of the Society	P/N -Ward, Malad - West
	4	Types of Society as per Rules 1969	Co-Partnership
	5	Number of Branches of Society	Not Applicable
	6	Full address of Society with Pin Code Number	Plot No.16, Jankalyan Nagar, Kharodi, Malad - West, Mumbai - 400 095
	7	Current Audit Period	Date 01.04.2025 From Date 31.03.2026 To
	8	Class of previous Audits	F. Year Class
			1. 2024-2025 : B 2. 2023-2024 : B 3. 2022-2023 : B
	9	Class of current Audit, if necessary enclosed classification of marks chart.	Class - B
II	AUDITOR INFORMATION		
	1	Name of the Auditor / Firm Name	Shri. Bharat C. Boridkar
	2	Registered Address	Boridkar House, Pandurang Bhoir Road, Dahisar - West, Mumbai, Mumbai - 400 068
	3	Firm Registration Number	NA
	4	Individual Auditor's Membership Number	NA
	5	Panel Number	Mumbai-4/C1/1011404
	6	Partnership: Partners Name, Address and Membership Number.	NA
	7	Panel Number	NA
	8	Class of Auditor as per Panel	Govt. Certified Panel Auditor
	9	Society AGBM date and Resolution Number	Date : 14-09-2025
	10	Date of Auditor's Appointment letter	Date : 02-03-2026
	11	Date of Auditor's Acceptance letter	Date : 07-03-2026
	12	Date of Auditor's Acceptance received by the Society	Date : 09-03-2026
	13	Date of Audit Commenced	Date : 10-05-2026
	14	Date of Audit Completed	Date : 16-05-2026
	15	Date of Managing Committee in which discussions on Audit Report	Date : 17-05-2026
	16	Date of Audit Report Submitted to the Society.	Date : 17-05-2026
	17	Date of Special Report Submitted (if any)	Date : NA

	18	Government Report Submitted (if any)	Date : NA
	19	<u>Audit Fees and Other Charges</u>	Rs. 5700/-
		a) Audit Fees	Rs. 5200/-
		b) Other Expenses as per Guidelines	Rs. 500/-
		c) Other Expenses out of Guidelines	Nil
		d) LFAR Fees of Bank	Nil
	PART – B		
II	WORKING OF THE SOCIETY		
	1	<u>MEMBERSHIP</u>	
	1	For Admission of member entrance fees, application, required minimum share amount and resolution for membership of BOD / MC as the case may be complied with.	Yes
	2	State the No. of Members a) Shareholder Members b) Nominal Members Total Members Joint or Associates Members	52 0 52
	3	Classification of Members as per Maharashtra Co-operative Act – 1960. a) Active Member b) Non- Active Member	Not Applicable and hence no comments are necessary in Audit Report.
	4	Whether procedure for acceptance of resignation of members as per byelaws of the society is duly complied with. If not, give the remarks in audit report.	Yes
	5	If any members is expelled during the period of audit, whether due procedure as per Section 35 and Rule 28 & 29 is followed or not. If not, comment in audit report	NA
	2	<u>SHARE CAPITAL</u>	
	1	Whether the limit of authorised share capital is adhered to or not? If not suggest the society to amend the byelaws accordingly. Comment report in audit the report	Yes
	2	If society has called the money for partially paid shares and the members have paid the said amount, if not, whether any action has been taken by the society as per bye-laws.	Yes
	3	If society has refunded the share capital, whether amount is refunded as per Rule 23 by valuing the shares as per last audited balance sheet. Whether any excess payment than the valuation has been recovered by the society, if not, comment in the audit report.	No

3 MANAGEMENT		
	3.1 MEETINGS	
1	Date of Annual General Body Meeting	14-Sep-2025
2	Date of Special General Body Meeting	NIL
3	Numbers of Meetings :- i) Managing Committee Meeting ii) Working Committee Meeting iii) Purchasing Committee Meeting iv) Loan Committee Meeting v) Investments Committee Meeting vi) Audit Committee Meeting vii) Other Committee if any	19
4	Whether meetings are held as per the proper quorum, if not comment in the audit Report.	As per Audit Remarks
	3.2 MANAGING COMMITTEE	
1	Date of Managing Committee Election held	Date : 16-09-2024
2	Period of Managing Committee	Date : 16-09-2024 From Date : 15-09-2029 To
	Whether the management has informed to the Co-operative Election Authority about expiry of term of management committee, prior to 6 months.	Election held on 16-09-2024
3	If the period of the committee is over and still it is working, whether the committee has informed the same to the State Co-operative Election Authority for further process or not?	Election held on 16-09-2024
4	State the names of the members of Managing Committee during the period covered under audit.	Chairman : Mr. Rakesh N. Correa Secretary : Mrs. Fernandes Theresa Treasurer : Mr. Chapekar Shivaji V.
5	Whether the members of the Board have complied with the terms and conditions to be continued as member of board.	Yes
	3.3 DECISIONS OF THE MANAGING COMMITTEE	
1	Read the minutes of committees and offer comments regarding the decisions taken by the Managing Committee affecting financial irregularities and impact of it on the financial status of the society.	Yes
2	Any losses / damages have been occurred from such decisions, whether special report is made or not. If yes, state the date of special report.	No
3	Whether any decisions of BoD are in contravention of provisions of Act, Rules and Byelaws. If yes, comment in audit report.	No
	3.4 SUB COMMITTEES	
1	Whether the Sub Committees are delegated powers under bye-laws or by resolution of the Managing Committee.	Not Applicable and hence no comments are necessary in Audit Report.
2	Powers delegated are according to the Act, Rules, Byelaws and directives issued by CRCS, RBI, NABARD or any competent authority under any Law.	Not Applicable and hence no comments are necessary in Audit Report.
3	Read the minutes of sub committees and state whether the sub committees are working within the powers, duties assigned to them, if not comment in General Remarks.	Not Applicable and hence no comments are necessary in Audit Report.

	3.5	CHIEF EXECUTIVE OFFICER	
	1	Name of the Chief Executive Officer.	Not Applicable and hence no comments are necessary in Audit Report.
	2	The Designation assigned him .	Not Applicable and hence no comments are necessary in Audit Report.
	3	Educational Qualification (Section 74).	Not Applicable and hence no comments are necessary in Audit Report.
	4	Whether he fulfils the criteria laid down by the competent authority for the post he has held.	Not Applicable and hence no comments are necessary in Audit Report.
	5	Details of Salary, Perks, Remuneration Allowance, Facilities details thereof.	Not Applicable and hence no comments are necessary in Audit Report.
	6	Whether any loans or advances are granted to him, give details of loans sanctioned, security offered, and outstanding, overdue, action taken for recovery.	Not Applicable and hence no comments are necessary in Audit Report.
	7	Whether he is doing his duties as per powers given to him by byelaws and power delegated by the board of directors, if not, comment in General remarks.	Not Applicable and hence no comments are necessary in Audit Report.
	8	Whether he is ex-officio member of Managing Committee as per bye-laws.	Not Applicable and hence no comments are necessary in Audit Report.
	3.6	STAFFING PATTERN AND STAFF (If applicable)	
	1	What is strength sanctioned by the Board and approved by the competent authority.	Not Applicable and hence no comments are necessary in Audit Report.
	2	Whether the employees working are within the limit of staffing pattern? If not state the excess strength and its financial impact.	Not Applicable and hence no comments are necessary in Audit Report.
	3	Whether recruitment and promotion rules are framed and approved (if necessary) and the recruitment and promotions are according to the approved policy? If not, comment in the audit report.	Not Applicable and hence no comments are necessary in Audit Report.
	4	Necessary reservations for recruitment and promotions are filled by the Committee according to directives given by the Government.	Not Applicable and hence no comments are necessary in Audit Report.
	5	If powers are delegated to the subordinate authorities, implement is adhered to or not? If not, comment in the audit report. Report.	Not Applicable and hence no comments are necessary in Audit Report.
	4 FINANCIAL PARAMETERS		
	4.1	Calculate the Net worth of the society as prescribed in explanation to Rule 23 and comment upon it if it is not correct.	NA
	4.2	Calculate the value of the share as prescribed in Rule 23 of the M.S.C. Rules 1961 and comment upon it.	NA
	4.3	Calculate various financial ratios regarding operational and financial efficiency, borrowing capacity as per Act, Rules, Byelaws, Circulars, Notifications and compare with financial indicators and comment on deviation with regards to adverse effects.	NA

	4.4	Gross Profit and Net profit is calculated according to the Section 65 and Rule 49A. Comment on true and fairness of the profit or loss.	NA
	4.5	All contingent liabilities are shown under the balance sheet as foot note or not? If not Comment in the Audit Report.	Not Applicable and hence no comments are necessary in Audit Report.
	4.6	Whether the financial statements are prepared in Form N as prescribed in Section 75 and Rule 62 (1) of M.S.C. Rules 1961.	Yes
5 BUSINESS			
	5.1	Whether the society is doing its business on sound business principles? Comment in General remarks about the working of the society.	Not Applicable and hence no comments are necessary in Audit Report.
	5.2	Whether the society is carrying on the business as provided in the Byelaws. If not, comment in the audit report and if any loss has been incurred from such business, the same should be reported.	Not Applicable and hence no comments are necessary in Audit Report.
	5.3	Whether necessary permissions / licenses have been obtained by the Society for its business wherever necessary. If not, mention in the audit report	Not Applicable and hence no comments are necessary in Audit Report.
	5.4	If business is carried on at various places, whether required licenses/ permissions have been obtained in respect of those places.	Not Applicable and hence no comments are necessary in Audit Report.
	5.5	Whether the society has carried on the business beyond the area of operation as specified in the Bye-laws?	Not Applicable and hence no comments are necessary in Audit Report.
6 STATUTORY RETURNS			
	6.1	Whether the society has submitted statutory returns of the previous year as required by the Section 79 (1 A and 1B) and 75(2 A) of the M. C. S. Act 1960. in respect of	Yes
	A	Annual report of activities	Yes
	B	Its Audited Statements of Accounts	Yes
	C	Plan for disposal of surplus Funds	Yes
	D	List of Amendment of Bye-laws (if any)	Yes
	E	Declaration regarding date of holding AGBM and conduct of election when due.	
	F	Name of Auditor and his written consent.	Shri. Bharat C. Boridkar
7 VIOLATION OF MCS ACT, RULES AND BYE-LAWS			
	7.1	State the provisions of Act, Rules and Bye-laws which are violated by Society and comment them into the Audit Report.	As per Audit Remarks
	7.2	Details of violation	As per Audit Remarks
	A	Act Section	As per Audit Remarks
	B	Rules	As per Audit Remarks
	C	Bye-laws	As per Audit Remarks
	D	Banking Regulation Act, 1949	NA

8 Books of Accounts and Registers			
8.1	Whether the books of accounts as prescribed by Rule 65 are maintained by the Society as under. If not, comment in the audit report.	Yes	
i)	A Register of members including persons nominated under Section 38 in Form I	Yes	
ii)	A List of Active Members in Form J1	NA	
iii)	A List of Non-active members in Form J2	NA	
iv)	A Register of Shares	Yes	
v)	A Register of debentures and bonds (Where capital is raised by debentures and bonds)	NA	
vi)	Minute Book regarding proceedings of General Body Meetings	Yes	
vii)	Record of attendance of General Body Meetings.	Yes	
viii)	Minute book recording proceedings of committee meeting and sub-committee meetings if any	Yes	
ix)	Cash Book	Yes	
x)	Day Book	Yes	
xi)	Bank Book	Yes	
xii)	General Ledger and Personal Ledger	Yes	
xiii)	Stock register	NA	
xiv)	Property Register (in Form X 1)	Yes	
xv)	Register of Auditors appointed and their written consent.	Yes	
xvi)	Register of Audit Objections and their rectifications	Yes	
xvii)	Returns of the Society (in Form Y)	No	
xviii)	Such other accounts and books as from time to time be specified by the State Government by Special or General order for any Society or Class of Societies.	Yes	
9 AUDIT RECTIFICATION REPORT			
9.1	Whether it is sent by Society within 3 months to the Registrar and to the Auditor.	Yes	
9.2	Whether the Registrar has communicated any uncompleted points to the Society and the Society has re-submitted it rectification within 6 months	N.A.	
9.3	Whether the previous Audit Rectification Report is presented in AGBM during the period covered under the Audit.	No	

Shri. Bharat C. Boridkar

[Panel No.: Mumbai-4/C1/1011404]

Govt. Certified Panel Auditor

Address: Boridkar House, Pandurang Bhoir Road,
Dahisar - West, Mumbai, Mumbai - 400 068

Mumbai: 16th May, 2026

FORM NO. 7
FOR CO-OP. HOUSING SOCIETIES

PART C

		SOCIETY INFORMATION	Particulars to be filed by the Auditor
1	2	3	4
I	1	Name of the Society	SPARSH CO-OPERATIVE HOUSING SOCIETY LTD
	2	Sub Classification of the Society	Tenant Co-Partnership
	A	Tenant Ownership Housing Society	No
	B	Tenant Co-partnership Housing Society	Yes
	C	Other Housing Society	No
II	WORKING OF THE SOCIETY		
	Financial Management		
1	Government / Financial Institute – Assistance, Loan etc.		
	1.1	Whether the society has obtained Government Assistance for the Construction of the houses / Flats / Bungalows etc.	No
	1.3	State the financial assistance not utilised and remained balance with the society, reasons of non-utilisation and action taken by the Society for its utilisation.	No
	1.4	If any financial assistance is mis-utilised for the purpose other than its sanction, state the amount, purpose of utilisation and persons responsible for mis-utilisation and modus operandious of mis-utilisation, persons benefited by such amount of financial assistance.	No
	A	Loan from government / government undertaking	
	1	Sanctioned amount and date of sanction	N.A.
	2	Amount actually received upto audit period	N.A.
	3	Amount utilised upto audit period	N.A.
	4	Amount remained with Society for utilisation	N.A.
	5	Date of submission of utilisation certificates and amounts thereof	N.A.
		i)	N.A.
		ii)	N.A.
		iii)	N.A.
	B	Other financial assistance from government / government undertakings (Specify)....	
	1	Sanctioned amount and date of sanction	N.A.
	2	Amount actually received upto audit period	N.A.
	3	Amount utilised upto audit period	N.A.
	4	Amount remained with Society for utilisation	N.A.
	5	Date of submission of utilisation certificates and amounts thereof	N.A.
		i)	N.A.
		ii)	N.A.
		iii)	N.A.

2	Finance from other financial institutions (individual loans taken by members which is not accounted in the Society's books, no comments are required by auditor for the following points)		
	a	Sanctioned Amount	N.A.
	b	Amount actually received	N.A.
	c	Amount utilised	N.A.
	d	Amount remained with Society for utilisation	N.A.
	e	State the financial assistance not utilised and remained balance with the Society, state the	N.A.
	f	If any financial assistance is mis-utilised for the purpose other than its sanction, state the amount,	N.A.
	3	Whether the members of the society have availed loan from financial institutions in the personal capacity? Necessary permission from the society has been taken and the charge on the assets of the society has been created state the No. Of members and amount of loan and charge on the assets? Verify the register maintained for the same from the information submitted by the members and comments on them in the audit report.	N.A.
	4	Whether the loans taken by the Society or by the members (in respect of government employees from the government / government undertakings) are repaid in time and verify the over dues and comment thereupon.	N.A.
	5	Whether the necessary documents i.e. NOC of the Society, mortgage deed, etc. have been executed by the Society or members with the financial Institutions or the Government as the case may be. Verify them and comment in the audit report.	N.A.
	6	Whether the term and conditions laid down by the Financial Institutions / Government have been followed by the Society / members or not? If not, comment in the audit report.	N.A.
	7	Whether the Society has maintained loan register with details of sanction, disbursement, repayment, balance and NOC after full repayment.	N.A.
	8	Whether the Society has obtained certificate regarding full payment of loan from concerned	N.A.
3	Land and Construction of the buildings		
	3.1	Lands	
		a) Whether the land is owned by the Society ,state S. No. , Area, City Survey No., date of purchase, amount of purchase and amount spent on development of land. State the registration number of purchase deed and date.	Plot No.16, Jankalyan Nagar, Kharodi, Malad - West, Mumbai - 400 095
		b) If the land is taken on lease, state the lesson, lease period, lease rent and amount of lease rent paid so for? Verify agreement for Lease comment on registration, terms and conditions of lease. Whether lease register is maintained or not? Whether tri-party agreements is executed for land originally lease by MHADA , HUDCO, CIDCO or any other such authority and such leased to Society?	NO

		c) If the land belongs to owner and given to development to the developer, state the owner, developer agreement of development, its terms and conditions and whether sale deed are made with member by the developer and owner or as per power of attorney, the auditor should verify the documents and comments in the audit report regarding title of land and building. (whether the Society has get its conveyance of land and building)	NO
		d) If the Society has purchased land, necessary permission for non agricultural land has been	NO
	3.2	Constructions	
	1	(a) Whether the construction has commenced or not and necessary permissions from local authority have been taken or not?	N.A.
		(b) State total number of flats / houses / bungalows / commercial units out of which are completed, under construction and constructions yet to be commenced.	Residential 52 Flats
		(c) Whether flats / houses / bungalows / commercial units are allotted to the members? Whether	YES
	2	Whether building has been constructed on contract basis? Whether the terms and conditions of the contract are followed? Verify and comment in the audit report.	N.A.
	3	Whether these contracts are sanctioned by competent authority (AGBM).	N.A.
	4	Whether tender have been called by publishing in local newspaper with rates? If the tender is allotted to the contractor other than lowest bid. Reasons thereof are given in the proceeding of sanction of tender. Verify and comment in audit report.	N.A.
	5	Whether the amount paid to the contractor on the basis of progress report by architect or not? Whether the running bills and final bill are taken before payment to the contractor.	N.A.
	6	On what terms and conditions, an architect was appointed? Whether the appointment is permitted by AGBM?	N.A.
	7	Whether there is any breach of terms and conditions by contractors or architect? Give remarks and state financial impact on the Society.	N.A.
	8	Whether prior to construction, the Society has obtained certificates regarding drainage, water supply, roads and sanction to final layout.	N.A.
	9	Whether Society has obtained completion / occupancy certificate from the local authorities / sanctioning authority?	N.A.
	10	Whether any changes have been made to the sectional plans, approvals are obtained from the competent authority? If not, comment in audit report.	N.A.
	11	Whether buildings and constructions are insured or not?	YES
4	Conveyance Deed		
	4.1	Whether constructions are made by Builders / developers and sale agreement are executed with members?	Conveyance Deed Executed
	4.2	Whether the land has been transferred to the Society by the builder / developer or not?	Conveyance Deed Executed

	4.3	Whether for transfer of land in the name of Society, Conveyance Deed has been executed by the builders / developers or not? If not, what action has been taken for the Conveyance?	Conveyance Deed Executed
5	Redevelopment		
	5.1	Whether the approval for redevelopment of the building as per bye-laws?	N.A.
	5.2	Whether tender have been invited for redevelopment?	N.A.
	5.3	Whether proposals of redevelopment have been considered by the AGBM with quorum required by bye-laws?	N.A.
	5.4	Whether the Society has appointed an architect and legal advisor for preparation of redevelopment of plan and scrutiny of tenders received for redevelopment.	N.A.
	5.5	Whether agreements have been executed between society and architect / legal advisor?	N.A.
	5.6	Whether comparative study in terms of financial and technical aspects of all proposals has been made?	N.A.
	5.7	State the criteria's adopted by the board for approval of proposal out of proposals received	N.A.
	5.8	Whether approval of AGBM has been obtained for the final proposal?	N.A.
	5.9	Whether agreement for redevelopment is executed between the Society and Developer? Whether the certified copy of the agreement is available with the Society? Give list of other agreements / documents executed between the Society and the redeveloper.	N.A.
	5.1	Check-up whether any terms and conditions of redevelopment agreements are prejudicial to the interest of the Society and its members, If yes, state the same.	N.A.
	5.11	Comment upon progress of reconstruction as per the terms of redevelopment agreement.	N.A.
	5.12	Whether there is any breach of terms and conditions of the agreement between the redeveloper and Society? If yes, comment upon the same along with its financial impact on Society and members.	N.A.
	5.13	Whether any member of the Society is related with the redeveloper in any way and if yes, whether the interest has been disclosed by the said member to the AGBM?	N.A.
	5.14	Whether the progress of construction is as per the schedule given in the redevelopment agreement? If not, state the action taken by the Society.	N.A.
	5.15	Whether necessary permissions from local authority have been taken redevelopment agreement or not? If not, comment in audit report.	N.A.
	5.16	Whether Society has obtained completion / occupation certificate from the local authorities / sanctioning authority?	N.A.
	5.17	Whether any changes have been made to the sanctioned plans, approvals are obtained from the competent authority? If not, comment in audit report.	N.A.
	5.18	Whether buildings and constructions are insured or not?	YES

	5.19	Whether new members are admitted in process of redevelopment? If yes, whether procedure for admission of membership has been followed or not as per the bye-laws?	N.A.
6	Monthly Contribution for Maintenance		
	6.1	Whether the Society has decided contribution for maintenance as per bye-laws and sanction of AGBM has been taken?	YES
	6.2	Whether the contribution is according to parameters set in the bye-laws and as per directions of the Registrar?	YES
	6.3	Whether any amount of such contribution is outstanding and overdue as per bye-laws? State the name of the concerned member and amount.	YES
	6.4	Whether the Society has charged and recovered penal interest on the overdue contribution amount.	YES
7	Funds Management		
	7.1	Whether the Society has provided for Sinking Fund, Repairs and Maintenance Fund, Election Fund as per bye-laws?	YES
	7.2	Whether rules for utilisation of sinking fund and repairs and maintenance fund have been prepared and approved by the AGBM?	Yes
	7.3	Whether such funds are utilised during the period of audit, necessary permissions have been taken from the competent authority?	Yes
	7.4	Whether surplus funds are invested as per Act, Rules and bye-laws separately or not? Comment in the Audit Report.	Remarks in the Audit Report
8	Transfer of Flats / Houses / Bungalows by members		
	8.1	Whether during the period of audit any transfer of flats / houses / bungalows by members have been taken place?	No
	8.2	While transferring the flats / houses / bungalows, provisions of bye-laws has been followed? If not, comment in the Audit Report.	NA
	8.3	Whether any premium / donation has been taken by the Society for such transfer is within the limit prescribed by the Government / Registrar.	No

Shri. Bharat C. Boridkar

[Panel No.: Mumbai-4/C1/1011404]

Govt. Certified Panel Auditor

Address: Boridkar House, Pandurang Bhoir Road,
Dahisar - West, Mumbai, Mumbai - 400 068

Mumbai: 16th May, 2026

SPARSH CO-OPERATIVE HOUSING SOCIETY LTD BOM/W-P/HSG/(TC)/4158/88-89 Plot No.16, Jankalyan Nagar, Kharodi, Malad - West, Mumbai - 400 095	
Period:- 01.04.2025 To 31.03.2026	
Schedules attached to and forming part of the Audit Report dated :- 16-May-2026 Statutory Report as required u/s 81 (2)	
SCHEDULE - I Transactions involving infringement of the provisions of the Act, the Rules & the Bye-laws - Refer to Audit Memo 1 & General Remarks.	
SCHEDULE - II Particulars of sums which ought to have been but have not been brought into account. - NIL	
SCHEDULE - III Improper & Irregular payments. See General Remarks	
SCHEDULE - III-A Irregularities in the realisation of money - NIL	
SCHEDULE - IV List of doubtful & bad debts - NIL	
SCHEDULE - V List of the movable & immovable properties & other assets considered doubtful of realisation - NIL	
SCHEDULE - VI Personal Expenditure debited to revenue - NIL	
Shri. Bharat C. Boridkar [Panel No.: Mumbai-4/C1/1011404] Govt. Certified Panel Auditor Mumbai: 16th May, 2026	

SPARSH CO-OPERATIVE HOUSING SOCIETY LTD**General Remarks and Observations attached to and forming part of the audit report dated 16-May-2026****INTRODUCTION**

- 1 Name of the society :- **SPARSH CO-OPERATIVE HOUSING SOCIETY LTD**
- 2 Register Address :- Plot No.16, Jankalyan Nagar, Kharodi, Malad - West, Mumbai - 400 095
:-
- 3 Reg. No & date :- BOM/W-P/HSG/(TC)/4158/88-89
- 4 Period of audit :- 01-Apr-2025 To 31-Mar-2026
- 5 Audit classification :- "B"

GENERAL REMARKS (PART-A)

The following are the major discrepancies found during the audit.

Sr no	Particulars	Instances / Examples which requires reporting	Auditor's remarks
1	Fraud	1) Debiting excess amount than the voucher amount / bill amount.	During the year under audit, I have not found any such instance.
		2) Withdrawing the amount from bank but not crediting in cash book	During the year under audit, I have not found any such instance. However, on a few occasions, cash withdrawals had been recorded in petty cash book on a day(s) prior to actual day(s) of withdrawal of cash from bank.
		3) Debiting the bank account without depositing the amount in bank	During the year under audit, I have not found any such instance.
		4) Disbursing loans without sanction / without security / without loan documents / using forge documents	During the year under audit, I have not found any such instance. The society is Housing Society.
		5) Any other transaction with the intention to defraud the society by any person.	On the basis of verification of record made available to me, during the year under audit, I have not found any such instance.
2	Misutilisation of funds and properties	1) purchasing / constructing building without inviting the tenders	During the year under audit, I have not found any such instance.
		2) purchasing the computers / fixed assets without inviting the tenders.	During the year under audit, I have not found any such instance.
		3) selling the movable / immovable properties without inviting bids	During the year under audit, I have not found any such instance.
		4) selling the movable / immovable properties below Reserve Price (Upset price)	During the year under audit, I have not found any such instance.
3	Misapplication of funds	1) Use of sinking fund for day to day maintenance without passing required resolution in General Body.	During the year under audit, I have not found any such instance.
		2) Use of revenue reserve / general reserve for creating Reserve for Bad and Doubtful Debts.	During the year under audit, I have not found any such instance.
4	Manipulation of accounts		I have not found any manipulation of accounts during the year under audit.
5	Falsification of accounts		I have not found any Falsification of accounts during the year under audit.
6	Shortfall in various provisions		There is no material shortfall in recognition of liability for outstanding expenses/provisions

7 Infringement of the M C S Act, 1960, Rules, 1961 and the Bye-Laws of the Society

	Srn	Act	Rules	Bye-laws @	Descriptions
	1	70	54,55	15	Investment of fund
	2		26	32	Nomination Not Fully Received
	3			144	Cash in hand beyond the prescribed limit..
	4			145	Payment beyond the limit in cash

Sr	Particulars	Instances / Examples which requires reporting	Auditor's remarks
8	Personal expenses debited to Income and expenditure account.		During the year under audit, I have not found any such instance.
9	Transactions with relatives of members of managing committee, companies, firms in which members of managing committee are interested, which are not at the reasonable rates.		During the year under audit, I have not found any such instance.
10	No action against overdue in excess of one year		During the year under audit, I have not found any such instance.

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

[Panel No.: Mumbai-4/C1/1011404]

Mumbai: 16th May, 2026

GENERAL REMARKS (PART-B)

INTRODUCTION

I have been appointed as the Statutory auditors of SPARSH CO-OPERATIVE HOUSING SOCIETY LTD Plot No.16, Jankalyan Nagar, Kharodi, Malad - West, Mumbai - 400 095 by the members of Society in their Annual General Body Meeting Dt. 14-Sep-2025 and Accordingly I have completed the Audit work.

The audit has been conducted for the period 1st April 2025 to 31st March 2026. This statutory audit is based on the books of accounts, records, financial statements, annexures, and other relevant documents maintained in the computer system, and has been verified accordingly. Both written and oral information provided by the management at the time of the audit has been relied upon during the course of this work. It is assumed that all transactions have been carried out in compliance with the Maharashtra State Co-operative Societies Act, 1960, the Rules of 1961, and the Bye-Laws of the Society.

It is presumed that the computer-generated entries and transactions are strictly accurate, in proper working order as per standard software/programming requirements, and free from internal defects. The Society shall be solely responsible for any subsequent changes made to the records.

Information obtained and irregularities observed during the audit are presented in Parts A, B, and C of this report. Upon compliance with the irregularities noted, an Audit Compliance Report is to be submitted.

Management:

The five-yearly election of the Managing Committee of the Society for the period 2024 to 2029 was conducted on 16th September, 2024, under the supervision of the Election Officer, Mrs. Smita Mote (Panel No. 203/2021). Pursuant to the said election, a new Managing Committee has been duly constituted. From among the elected members, the following members have been selected as the Office Bearers of the Managing Committee of the Society.

Chairman	-	Mr. Correa Rakesh N.	wef. 05/10/2025
Secretary	-	Mrs. Fernandes Theresa	
Treasurer	-	Mr. Chapekar Shivaji V.	
Member	-	Mr. Iyer Shankar	
Member	-	Mr. Kanakia Hiren K.	
Member	-	Ms. Sharon Gonsalves	
Member	-	Mr. Sharma Anil	

MEETINGS :-

During the year of Audit following meetings were held.

Sr. No.	Meeting Name	No. of Meetings	Meetings Date
1	Managing Committee Meetings	19	07/04/2025, 28/04/2025, 25/05/2025, 11/06/2025, 14/07/2025, 17/07/2025, 30/07/2025, 12/08/2025, 27/08/2025, 05/10/2025, 17/10/2025, 02/11/2025, 28/11/2025, 14/12/2025, 11/01/2026, 07/02/2026, 10/02/2026, 01/03/2026, 22/03/2026
2	Annual General Meetings	1	14-09-2025
3	Special General Meetings	0	NIL

Annual General Meeting :-

- 1 The Annual General Body Meeting was held on 14th September 2025 . We found that minutes of the meetings are maintained, The minutes of the above meetings are print outs pasted in the minute book.

Managing Committee

- 1 The minutes of the above meetings are print outs pasted in the minute book.

MEMBERS

There are 52 members in the Society. As informed by the management, during the year, there are following cases of transfer or transmission .

Flat No. 1403, Mr. Mahesh Kumar Kewlani HUF sold their flat to Mrs. Bhakti Vijay Ladhani.

FINANCIAL PERFORMANCE:

During the year under audit the society has shown DEFICIT of Rs. 5,72,073/- For the year ending 31-Mar-2026.

OBSERVATION ON THE BALANCE SHEET AS ON 31-03-2026

Sr. No.	Particulars	31-03-2026	31-03-2025	Increase/Decrease
	LIABILITIES			
1	Issued,Subscribed & Paid Up Share Capital	26000	26000	0
2	Reserve and Other Funds	2342842	1150697	1192145
3	Contribution from Members towards Bldg	0	0	0
4	Current Liabilities & provisions	475938	277744	198194
5	Advances to Members/Refundable Deposits	11614	11258	356
6	Payables to Flat No. 1003/1004	113000	0	113000
7	Income & Expenditure Account	61712	633785	(572073)
	TOTAL :-	3031106	2099484	931622
	ASSETS			
1	Cash & Bank Balances	289457	1548512	(1259055)
2	Investments	1647634	1500	1646134
3	Advances & Deposits	26288	25722	566
4	Contribution towards Building	0	0	0
5	Other Fixed Assets	307695	78894	228801
6	Current Assets / Prepaid Expenses	760032	444856	315176
	TOTAL :-	3031106	2099484	931622

ANALYSIS OF BALANCE SHEET :-**SECTION I: CAPITAL AND LIABILITIES****1 AUTHORISED SHARE CAPITAL:**

As per approved Bye-Laws of society, Authorised Share Capital was Rs. 1,00,000/- divided into 2000 Shares of Rs.50/- each.

2 PAID-UP SHARE CAPITAL:

a The amount of Paid Share Capital was Rs. 26000/- divided into 520 shares of Rs.50/- each.

3 RESERVES AND SURPLUS:

As on 31.03.2026 there is Surplus in investment of following funds, details of which are given below:

Sr. No.	Particulars	Balance (Rs.)	Investment (Rs.)	Deficit/ (Surplus) (Rs.)
1	Reserve Fund	282345	281752	593
2	Sinking Fund	443224	441787	1437
3	Repairs & Maintenance Fund	1076385	681485	394900
4	Building Re-Development Deposits	516450	189251	327199
5	Education & Training Fund	24438	24326	112
6	Share Capital	26000	27533	(1533)
	TOTAL :-	2368842	1646134	722708

a It has been suggested to keep investment amount to the extent of fund value.

4 CURRENT LIABILITIES & PROVISIONS Rs. 4,75,938/-

Details of Sundry Creditors & Provisions made by Society as on 31st March, 2026 are as under:

Particulars	Balance (Rs.)
Cavin Rodrigues - March 2026 Salary	16000
Electricity charges - March 2026	33330
Sunil Sah - March 2026 Salary	5000
Sheela Savda - March 2026 Salary	11000
Water charges - Period 16.04.2024 to 16.05.2024	11900
Security charges - March 2026	73160
Subscription Federation - FY 24-25 with Arrear	2478
Fire Fighting AMC - 50%	25370
Sunil Sah & Santosh - March 2026	14000
Audit fee - FY 2025-26	5200
Water Expense - Jun 2024 to Mar 2026	261800
Income Tax - FY 2024-25	16700
TOTAL :-	475938

General Remarks and Observations attached to and forming part of the audit report dated 16-May-2026

Particulars	Balance (Rs.)	Remark
Advances from Members	11614	These are subject to confirmation by the respective member.
TOTAL :-	11614	

SECTION II: ASSETS

1 Cash on hand Rs. 2629/-

Cash Balance as on 31st March 2026 was Rs. 2629/- The Hon. Treasurer is of the opinion that operation with a low cash balance is practically difficult. and on the last day of the financial year.

2 Bank Balance Rs. 2,86,828/-

i The Society is maintaining accounts with Following Banks.

1	Saraswat Bank	187598.36
2	Jankalyan Bank	99229.50
	Total :-	286827.86

a The balance confirmation certificates at the year end are submitted for our audit and also the bank passbook submitted by the society from the aforesaid banks were verified and the balances were found to be in agreement with the balance as per the books of account by way of reconciliation of unadjusted entries, if any.

3 INVESTMENTS:

Investment portfolio mainly consists of Fixed Deposits. The details of the same as at 31/03/2026 are as under:

Particulars	31-03-2026	31-03-2025	Increase/Decrease
Fixed Deposit with banks			
FDR with Janalalyan Bank	0	0	0
FDR with Saraswat Bank with Accrued Int	1646134	0	1646134
Shares of JKN Coop Hsg Fed	500	500	0
Share of MDCC Bank	1000	1000	0
Total :-	1647634	1500	1646134

4 FIXED ASSETS :

a Fixed Assets have been stated at value at the beginning of the year inclusive of incidental expenses incurred on acquisition less depreciation for the year and the same are depreciated on the Basis and the rates determined by the management. The details of the Fixed Assets as on 31/03/2026 are as under:

Sr. No.	Particulars	Amount (Rs.)
1	Ladder	14,535
2	Mobile	7,232
3	Fan	3,431
4	Computer & Printer	19,859
5	Furniture	15,390
6	Water Pump	50,150
7	Society Name Board	13,262
8	Parking Control Box	18,500
9	Dustbin Cabin Room	34,200
10	Safety Door	37,791
11	Boundry Grill	75,715
12	Canteliver Lock	17,630
	Total :-	3,07,695

5 OTHER CURRENT ASSETS:

Details of Current Assets and Deposits & Advances of the Society are as follows:

Sr. No.	Particulars	Amount (Rs.)
1	Dues from Member's (As per Sch - II)	5,04,126
2	Deposit with Adani Electricity	26,288
3	TDS Receivable FY. 2025-2026	8,940
4	Lift AMC - From 01.04.2026 to 28.10.2026	1,73,945
5	Intercom AMC - From 01.04.2026 to 31.12.2026	17,114
6	Fire Fighting AMC - From 01.04.2026 to 30.04.2026	4,228
7	Bird Net AMC - From 01.04.2026 to 04.05.2027	1,395
8	CCTV AMC - From 01.04.2026 to 31.12.2026	14,669
9	Insurance - From 01.04.2026 to 27.01.2027	18,112
10	Stack AMC - From 01.04.2026 to 30.04.2026	17,503
	Total :-	7,86,320

ANALYSIS OF PROFIT & LOSS ACCOUNT

Sr. No.	Particulars	31-03-2026	31-03-2025	Increase / Decrease	%
	Income :-				
1	Contribution from members	26,20,991	26,40,493	(19,502)	(0.74)
2	Interest on SB & FD	34,627	73,103	(38,476)	(52.63)
	TOTAL :-	26,55,618	27,13,596	(57,978)	
	Expenses:-				
1	Gardener - Salary	60,000	55,000	5,000	9.09
2	Housekeeper - Salary	1,25,000	1,01,000	24,000	23.76
3	Manager - Salary	1,48,000	78,000	70,000	89.74
4	Valet Driver	1,44,500	-	1,44,500	100.00
5	Bonus	1,01,500	4,000	97,500	2,437.50
6	Property Tax	2,91,969	-	2,91,969	100.00
7	Electricity Expenses	3,87,510	3,57,584	29,926	8.37
8	Water Expenses	1,42,800	1,42,800	-	-
9	Lift	3,88,751	39,104	3,49,647	894.15
10	Intercom	22,715	5,601	17,114	305.55
11	Bird Net	1,380	1,365	15	1.10
12	Fire Fighting	46,512	-	46,512	100.00
13	Stack Parking	87,517	-	87,517	100.00
14	AC	2,000	-	2,000	100.00
15	Pest Control	44,800	44,800	-	-
16	CCTV	17,248	4,073	13,175	323.47
17	Garden Maintenance	14,500	38,889	(24,389)	(62.71)
18	Water Tank Cleaning	12,500	-	12,500	
19	Gym Expense	-	31,050	(31,050)	(100.00)
20	Electrical Expenses	42,966	10,443	32,523	311.43
21	Other Expenses	50,020	23,966	26,054	108.71
22	Plumbing Expense	4,400	-	4,400	100.00
23	Fire Fighting	7,080	-	7,080	100.00
24	Accounting Charges	63,720	53,790	9,930	18.46
25	Security Expenses	8,60,258	7,53,445	1,06,813	14.18
26	House Keeping Expenses	-	64,446	(64,446)	(100.00)
27	House Keeping Materials	8,000	9,810	(1,810)	(18.45)
28	Subscription Charges of Security App	-	12,000	(12,000)	(100.00)
29	Subscription Federation	12,500	8,728	3,772	43.22
30	Income Tax Expense	7,240	9,500	(2,260)	(23.79)
31	Conveyance	3,293	2,453	840	34.24
32	Legal Fees	-	21,000	(21,000)	(100.00)
33	Software Charges	-	5,000	(5,000)	(100.00)
34	Bank charges	1,633	620	1,013	163.31
35	Postages & Courier	-	620	(620)	(100.00)
36	Printing & Stationery	5,278	15,557	(10,279)	(66.07)
37	Insurance Expense	3,778	3,422	356	10.40
38	Professional Charges	-	3,000	(3,000)	(100.00)
39	Audit Fees	5,700	8,150	(2,450)	(30.06)
40	Telephone & Internet Expense	-	3,318	(3,318)	(100.00)
41	Election Expense	-	8,000	(8,000)	(100.00)
42	Office Expense	5,158	11,665	(6,507)	(55.78)
43	Meeting Expense	6,666	4,360	2,306	52.89
44	Festival Expense	62,100	64,151	(2,051)	(3.20)
45	Depreciation	38,699	26,031	12,668	48.67
46	25% Surplus Transferred to Reserve	-	1,71,714	(1,71,714)	(100.00)
47	Surplus / Deficcit for the year	(5,72,073)	5,15,141	(10,87,214)	(211.05)
	TOTAL :-	26,55,618	27,13,596	(57,978)	

CONCLUSION

- 1 From the examination of the books of accounts and other records maintained and produced by the Society, I would like to place on record my appreciation for the co-operation received from time to time from the office bearers of the Society.
- 2 No personal expenses have been recorded in the Income & Expenditure Account.
- 3 All expenses incurred are towards fulfilling the objectives of the Society.
- 4 There are no transactions noted which are detrimental to the interest of the Society.
- 5 The Society is fulfilling its liabilities towards its members.
- 6 There is not any loan kept overdue by the society.
- 7 The amounts have been spent for fulfilling the objectives of the Society, restricted only to routine management expenses.
- 8 The Society has not received any financial assistance from any external authority for the fulfillment of its objectives.

Mumbai: 16th May, 2026

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

[Panel No.: Mumbai-4/C1/1011404]

GENERAL REMARKS (PART-C)

AUDIT OBJECTIONS & GENERAL REMARKS

- 1 It is observed that some members of the Society have still not submitted the nominations. It is in the interest of the members to do the nominations at the earliest as per the provision in the Byelaw of the Society.

RECORDS

Society has maintained the following statutory registers, which are required as per Bye Laws No.142 were updated.

- | | | | |
|---|-------------------|---|--|
| a | Share Register. | b | Nomination register |
| c | Property Register | d | The Audit Rectification Registered in "O" Form |

SUGGESTIONS :-

- 1 The Society should charge maintenance and other applicable charges strictly in accordance with the Bye-Laws, relevant Acts, Rules, and Government Notifications issued from time to time.
- 2 Statutory registers should be updated regularly.
- 3 All single payments above ₹1,500/- should be made only by crossed account payee cheque.
- 4 Maintain closing cash on hand within the limits prescribed by the Rules and Bye-Laws.
- 5 Utilise the Education and Training Fund to provide education and training to at least 20% of members every year, in accordance with Section 24A and Section 155-B(6) of the Maharashtra Co-operative Societies Act, 1960.
- 6 Upload all mandatory returns prescribed under Section 79 of the MSC Act on or before 30th September every year.
- 7 Deduct Income Tax at Source (TDS) in accordance with the relevant provisions of the Income Tax Act, 1961 — for example, when engaging contractors for repair and maintenance work — and file the quarterly TDS statements, issuing TDS certificates to deductees as required.
- 8 Implement a more robust financial management system, including budget monitoring, variance analysis, and other related MIS reporting.
- 9 Ensure that minutes of Managing Committee meetings as well as General Body meetings are clear, complete, and unambiguous. All resolutions should be serially numbered.
- 10 Note that the Maharashtra Co-operative Societies Act, 1960 was amended on 13th August 2013. As per the amended provisions of Section 73CB(1), the State Co-operative Election Authority has been constituted. Elections of all Co-operative Societies must be conducted in accordance with the Maharashtra Co-operative Societies (Elections to Committee) Rules, 2014.
- 11 Prepare the Audit Rectification Report within three months as required under Section 82 of the Maharashtra Co-operative Societies Act, 1960, using Form "O" prescribed under Rule 73. This report should be placed before the Managing Committee for approval, then submitted to the registering authorities along with a copy of the Managing Committee resolution. The same should also be forwarded to the auditor for comments.

Shri. Bharat C. Boridkar

Govt. Certified Panel Auditor

[Panel No.: Mumbai-4/C1/1011404]

Mumbai: 16th May, 2026

SPARSH CO-OPERATIVE HOUSING SOCIETY LTD

Schedules attached to and forming part of the Annual Account for the year ended 31st March, 2026

A Accounting Conventions:

1 The financial statements have been prepared under the historical cost convention, in accordance with the generally accepted accounting policies and according to the provisions of the Maharashtra Co op Societies Act, 1960 and Rules framed there under and registered Bye-laws of the society and the same, unless specifically referred otherwise, are adopted consistently by the society.

2 Recognition of Income and Expenditure:

The society generally follows accrual system of accounting and recognises significant items of income and expenditure on accrual basis except contributions by members towards Non-Agricultural Tax and its payment, annual contribution towards the education and training fund and its utilisations.

3 Fixed Assets:

Fixed assets are stated at cost less depreciation. Cost comprises of cost of acquisition and any attributable cost of bringing the asset to condition for its intended use.

4 Depreciation:

Depreciation is provided for number of days fixed assets put to use during the year, on written down value (WDV) at the rates prescribed under the Income Tax Act, 1961.

5 Investments:

Investments are stated at cost.

6 Contingent Liabilities:

Contingent liabilities are not provided for and, if any, the same is disclosed by way of note.

B Notes on Accounts:

1 Previous year figures:

Previous year figures have been re-worked, re-grouped, re-arranged and re-classified wherever necessary to facilitate comparison with the current year figure.

The dues from members and credit balances of members security deposits with Adani Electricity are subject to confirmation.

In the opinion of the Managing Committee, the value of other assets is as stated in the financial statement, if realised in the ordinary course of operations of the Society.

For SPARSH CO-OPERATIVE HOUSING SOCIETY LTD

Chairman

Secretary

Treasurer

Shri. Bharat C. Boridkar

[Panel No.: Mumbai-4/C1/1011404]

Govt. Certified Panel Auditor

Mumbai: 16th May, 2026